

CAPITAL MARKETS

Developers Are Leasing Before They Finish. That Is the Signal.

Rosewood's Phase III leasing start reveals how construction lenders are underwriting completion risk in 2026.

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A source-grounded Light Tower Insight. The complete note follows.

Rosewood Property Co. has begun leasing a 359-unit multifamily project in San Antonio's Alamo Heights area. Phase III of Tobin Estates is not yet complete. Construction began in May 2024. The units are not finished. The leasing office is open anyway.

That timing is the story. A developer does not begin leasing a 359-unit project months before delivery because it is eager to meet the public. It does so because the capital behind the project demands proof of absorption before the final draw is released. The lender, InterBank, is not underwriting a building. It is underwriting a lease-up timeline.

The reported facts are straightforward. Phase III includes 265 apartments in four-story wraparound buildings and 94 units with private garages in two additional four-story structures. Units range from one to three bedrooms. Amenities include a pool, indoor and outdoor fitness centers, a resident lounge, and a rooftop deck. The project partners include Provident General Contractors, WDG Architecture, civil engineer Westwood, and construction lender InterBank. Starting rents were not disclosed.

The market signal is not in the unit count or the amenity package. It is in the decision to begin leasing before the certificate of occupancy. That decision transfers risk from the developer to the tenant. The tenant signs a lease for a unit that does not yet exist. The developer gets a pre-leasing percentage. The lender gets a data point that justifies the next funding tranche.

This is how construction lending works in a capital-constrained environment. A construction lender in 2026 is not lending against a pro forma. It is lending against a pre-sold narrative of demand. The lender wants to see that the market will absorb the units before the lender is fully committed. Early leasing is the mechanism that provides that evidence.

The cast here has three parties with different clocks. Rosewood needs to demonstrate lease velocity to keep the construction loan on track. InterBank needs to see that its capital is not trapped in a half-empty building. The future tenant needs to believe that the unit will be delivered on time and that the rent is worth the wait. Each party is making a bet on the same timeline, but the consequences

of a miss are distributed unevenly.

The mechanism is pre-leasing as a liquidity signal. In a normal market, a developer might wait until the building is substantially complete before beginning a full marketing push. In a market where construction financing is expensive and equity is scarce, the developer cannot afford to wait. The lender will not wait. The capital stack demands that the lease-up risk be addressed before the building is finished.

This is not unique to Rosewood or to San Antonio. It is a pattern that has emerged across Sun Belt markets where multifamily supply has been heavy and absorption has been uneven. Developers who can show pre-leasing momentum get their draws. Developers who cannot get stuck in a capital standstill.

The open question is what the pre-leasing data will show. Without disclosed starting rents, it is impossible to know whether Rosewood is pricing at market or discounting to build velocity. The difference matters. If rents are at market and units are leasing, the project is on solid ground. If rents are discounted, the project is buying time with yield. The lender will know which case is true. The market will find out when the rent roll stabilizes.

The reader consequence is straightforward. Owners and sponsors with multifamily construction projects in lease-up should watch the pre-leasing velocity at Tobin Estates as a benchmark for what lenders are willing to accept. Lenders should ask themselves whether their underwriting assumptions about absorption are still valid in a market where supply is still coming online. Developers should test whether their own pre-leasing timelines are aggressive enough to satisfy their lenders' requirements.

The next phase of the multifamily construction cycle will not be defined by who can break ground. It will be defined by who can prove demand before the concrete is dry. Rosewood is making that bet now. The lender is watching. The market should be too.

SOURCES

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<https://rebusinessonline.com/rosewood-begins-leasing-359-unit-multifamily-project-in-san-antonio/>

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